

Monopsony, Measurement, and Sources of Power

Labor II — Week 6

Teaching deck draft

Central question and course repositioning

- What does it mean to say that firms have wage-setting power in labor markets?
- Week 6 turns Week 5's wage-setting protocols into measurable labor market power.
- Week 7 will then ask how policy works once firms face finite labor supply to the firm.

Week 5 to Week 6 bridge

- Week 5: posting, bargaining, and internal pay rules tell us how wages are set.
- Week 6: monopsony tells us how much power employers have inside those protocols.
- The new empirical objects are labor supply to the firm, markdowns, concentration, mergers, and pass-through.

Week 6 turns wage-setting protocols into measurable employer power



Core objects: labor supply to the firm, markdowns, concentration, mergers, pass-through

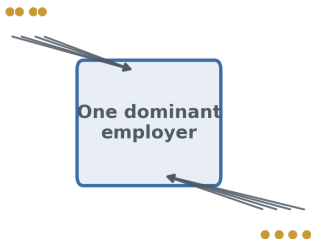
What monopsony is and is not

- Monopsony is employer wage-setting power, not only the literal one-employer town.
- The firm faces upward-sloping labor supply to the firm rather than perfectly elastic labor supply.
- Concentration, employer size, and labor market power are related but not identical objects.

Classic monopsony versus modern dynamic/search monopsony

Classic monopsony

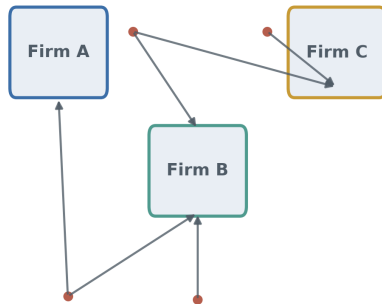
Employer directly internalizes the wage-employment tradeoff



Useful benchmark for thin markets,
not the whole modern field

Modern dynamic/search monopsony

Power comes from imperfect mobility,
not only from a single employer



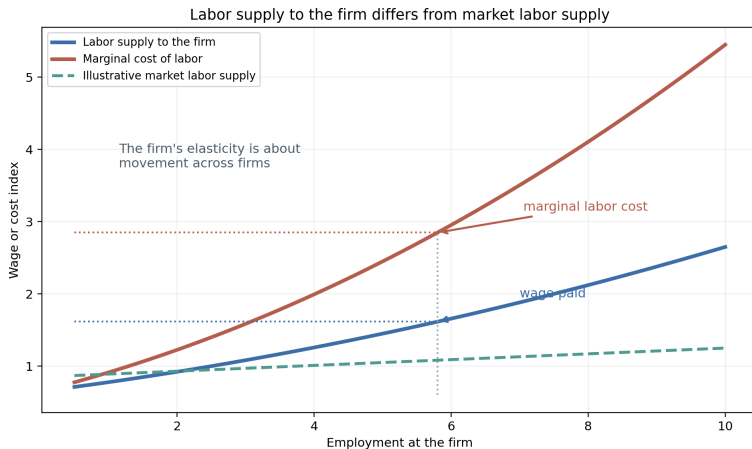
Many firms can still face finite labor-supply elasticities

Labor supply to the firm

$$\varepsilon_{N,w} = \frac{\partial \log N(w)}{\partial \log w}$$

- The relevant elasticity is employment at a firm with respect to that firm's own wage.
- This is not the same object as market labor supply.
- Modern monopsony can exist even with many firms if worker mobility is imperfect.

Labor supply, wage-setting power, and marginal labor cost



Marginal labor cost and markdowns

$$MCL = w \left(1 + \frac{1}{\varepsilon_{N,w}} \right) \quad \mu = \frac{MRPL}{w}$$

- Finite labor-supply elasticity means the marginal cost of labor exceeds the wage.
- A markdown summarizes the wedge between marginal revenue product and pay.
- Markdowns, firm wage premia, and rent-sharing are related but non-identical objects.

Concentration is not the same thing as monopsony

$$HHI_m = \sum_j s_{jm}^2$$

- Concentration is an observable proxy, not a structural wage-setting parameter.
- Market boundaries may be mismeasured relative to actual worker outside options.
- Amenities, information frictions, and mobility costs can generate power even with many firms.

Measurement objects in the literature

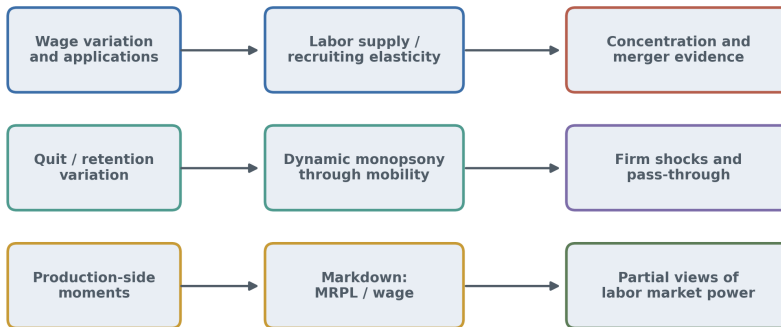
Approach	Variation	Margin	Main latent object
Applications / tasks	Wage changes	Recruiting elasticity	Off-platform outside options
Quit elasticity	Wage differences	Retention / quits	Unseen offer network
Markdowns	Production moments	MRPL-wage wedge	True MRPL and structure
Concentration	Market shares	Wage differences	Correct market boundary
Mergers	Consolidation shock	Wage response	Deeper structural wedge
Firm shocks	Productivity or revenue	Pass-through	Sorting vs power

Empirical designs and what they identify

- Dube, Jacobs, Naidu, and Suri: direct wage variation, task-level unit, applications or fill margin, labor-supply elasticity to the firm.
- Yeh, Macaluso, and Hershbein: plant or firm unit, production-side moments, markdown object, stronger structural assumptions.
- Prager and Schmitt: merger shock, market structure changes, wage response to consolidation, partial view of labor market power.

Measurement map

Different data and designs recover different monopsony objects

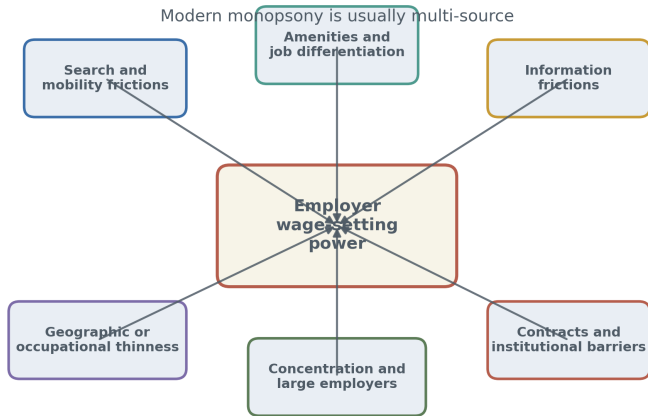


Conceptual agreement does not require numerical identity across measures

Sources of monopsony power

- Search and mobility frictions.
- Amenities and job differentiation.
- Information frictions and wage opacity.
- Geographic and occupational thinness.
- Concentration, large employers, and mergers.
- Contracts, licensing, visas, and internal wage rules.

Sources map



Concentration matters, but it is only one branch of the causal tree

- Why concentration can understate or misclassify true power.
- Markdown measurement outside manufacturing and production settings.
- Amenities, compensating differentials, and worker beliefs.
- New data: vacancies, platforms, worker-firm panels, and mobility networks.
- Open link: monopsony, inequality, sorting, and policy design.

- If firms have wage-setting power, minimum wages do not map into the competitive benchmark.
- The policy block becomes about incidence under imperfect competition.
- Week 7 starts with wage floors and asks how employer power changes predicted employment and wage effects.

Takeaways

- Monopsony is best treated as a spectrum of employer wage-setting power.
- Labor supply to the firm is the core object; market concentration is only one possible proxy.
- Different empirical designs identify different wedges, so the measures need not coincide numerically.
- Modern monopsony usually comes from multiple overlapping sources, not a single mechanism.

Appendix: lab bridge

- Reproduce: Dube-style online labor elasticity from direct wage variation.
- Diagnose: Yeh-style markdown object from a synthetic plant panel.
- Transfer: Prager-Schmitt-style merger or concentration panel.
- Keep the object, variation, observed margin, and latent object separate in every exercise.